

CAPITAL MARKETS

The Deal Looked Like a Sale. It Was a Liquidity Trade.

A 72% occupied retail center in Prairieville traded. The buyer wasn't buying income; it was buying time.

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A source-grounded Light Tower Insight. The complete note follows.

Commerce Centre in Prairieville, Louisiana, is 33,744 square feet, 72 percent occupied, and now has a new owner. The transaction closed. The price was not disclosed. The buyer is an East Coast investor. The seller is a local owner. The broker is Marcus & Millichap.

On its face, this is a routine retail sale in a secondary market. But the occupancy number is the story. A center that is 28 percent vacant does not trade on its current net operating income. It trades on a thesis about what the vacancy will become. That thesis is not about rent growth. It is about time.

The buyer is not buying cash flow. It is buying the option to fill the space before the debt matures or the market turns. That is a liquidity trade, not an income trade. The basis matters more than the cap rate because the cap rate is a guess about the future, and the basis is the only number that is real today.

For the seller, the decision to sell at 72 percent occupancy is revealing. A local owner who held through the construction phase in 2015 and through the pandemic is now exiting before the center reaches stabilization. That suggests the seller either needed liquidity, lacked the capital or patience to lease the remaining suites, or saw a basis that made the exit rational. The buyer, by contrast, is betting that the vacancy is temporary and that the basis will look cheap once the center reaches 90 percent or higher.

The lender who finances this center next will face a different underwriting question than the one who financed the original construction. The construction lender underwrote a new building in a growing suburb of Baton Rouge. The next lender will underwrite a nine-year-old building with a leasing track record that is, at best, incomplete. The occupancy history matters more than the location. A lender who sees 72 percent occupancy and a new buyer with no local operating history will demand a higher debt yield, a lower LTV, or a personal guarantee. The buyer's cost of capital will be higher than the seller's was, which is exactly why the buyer needed a low basis to begin with.

This is the pattern that repeats across secondary-market retail today. The assets that trade are not the ones with perfect occupancy and long lease terms. Those are held. The assets that trade are the ones with a problem that the current owner cannot solve and the next owner believes they can. The problem is almost always leasing. The solution is almost always time. And time is the most expensive

ingredient in the deal because it carries interest, carrying costs, and the risk that the market changes before the leasing does.

The East Coast investor is making a specific bet: that Prairieville's growth as a Baton Rouge suburb will continue, that the remaining suites can be leased at rents that support the acquisition basis, and that the capital markets will be cooperative when the refinancing comes due. That is three bets, not one. Any one of them can break the trade.

For owners of similar assets in secondary markets, the signal is clear. If you are holding a multi-tenant retail center with vacancy above 20 percent, your exit window is narrowing. The buyers who will pay for optionality are still active, but they are becoming more selective about basis, location, and the cost of the capital they will need to complete the business plan. The seller who waited too long in 2023 and 2024 is now competing with a smaller pool of buyers who have already seen the vacancy and priced it in.

For lenders, the question is different. A loan against a 72 percent occupied center is not a stabilized loan. It is a transitional loan, whether the borrower calls it that or not. The lender who treats it as stabilized is underwriting a fantasy. The lender who treats it as transitional is underwriting a business plan with a timeline. The difference between those two underwriting decisions is the difference between a performing loan and a workout.

Commerce Centre traded. The price was not disclosed. But the market just learned something anyway. It learned that there is still a bid for secondary-market retail with a vacancy problem, as long as the buyer controls the basis and believes they control the clock. That is not a vote of confidence in retail. It is a vote of confidence in optionality. And optionality, unlike occupancy, can disappear without warning.

SOURCES

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<https://shoppingcenterbusiness.com/marcus-millichap-brokers-sale-of-33744-square-foot-multi-tenant-retail-property-in-metro-baton-rouge-louisiana/>